AUDIT CLOSE • 2025-09-30

Internal audit memorandum

Quarter-close reconciliation of financial records, review queues, and active-asset balances. This memo records the adjustments accepted at close.

1. Executive reconciliation

Unexplained ledger variance	38,000	—	38,000 open
Flagged transactions	7	—	7 open
Active acquisition cost	920,000	—	920,000
Recorded depreciation	245,000	+10,000	255,000
Active net book value	675,000	–10,000	665,000

Audit conclusion

- The unexplained ledger variance remains unresolved and is carried as an open audit item.
- Seven review-queue records remain flagged; pending or void operational records are not automatically audit flags.
- Asset AS-08 is excluded from active-asset totals following its retirement effective 2025-09-01.
- A 10,000 depreciation adjustment is required across active assets at the September close.

CLOSE STATUS	**The adjusted accumulated depreciation and net book value in this memo are the current close figures.**

AUDIT WORKPAPER GL-09

Ledger variance and flagged-item review

The workpaper separates the unexplained balance from individual review flags. Flagged items are investigative records, not an arithmetic decomposition of the variance.

2. Open review queue

RV-01	TR-902	Counterparty	S. Vale	Flagged
RV-02	TR-903	Reversal	S. Vale	Flagged
RV-03	AP-144	Invoice	M. Irix	Flagged
RV-04	AP-152	Invoice	M. Irix	Flagged
RV-05	AR-077	Receipt	D. Cass	Flagged
RV-06	AR-081	Receipt	D. Cass	Flagged
RV-07	GL-904	Journal	S. Vale	Flagged

3. Variance bridge

System control total	2,418,000	Starting balance
Verified subledger total	2,380,000	Reconciled sources
Unexplained difference	38,000	Open at close
Proposed write-off	0	Not approved

No offset, write-off, or subsequent event was approved before the 2025-09-30 close. The open variance therefore remains 38,000.

AUDIT WORKPAPER FA-09

Asset depreciation adjustment

The adjustment applies to active assets in the current register. Historical status and acquisition records remain unchanged.

4. Active-asset reconciliation

AS-01	180,000	50,000	2,000	52,000
AS-02	160,000	45,000	1,500	46,500
AS-03	150,000	40,000	1,500	41,500
AS-04	140,000	35,000	1,500	36,500
AS-05	120,000	30,000	1,500	31,500
AS-06	100,000	25,000	1,000	26,000
AS-07	70,000	20,000	1,000	21,000
TOTAL	920,000	245,000	10,000	255,000

5. Net book value

Active acquisition cost	920,000
Less: current accumulated depreciation	255,000
Current net book value	665,000

SCOPE

AS-08 is retired and excluded. The adjustment does not change acquisition dates, costs, or asset status.